

How do you estimate what discount the market is building into the price?

It was fairly easy in this case, given the obvious correlation between the rating downgrades and the stock price. Although we couldn't be sure that the correlation reflected causality, it seemed likely. As a complementary approach, you could also calculate the breakup value of the company—how much the nontobacco-related businesses, such as Kraft, were worth on their own. Then by subtracting this value from the stock price, you could back into an estimate of the value the market was assigning to the tobacco business. The difference between this value and the value of the tobacco business absent any litigation uncertainty provided an estimate of the litigation discount implicit in the market price.

What was the trade that you actually did?

It seemed quite clear to us that substantial new information was likely to come out relatively soon that would either validate the rating agencies' concerns about the litigation, in which case, the stock price would sell off substantially, or the reverse, in which case, the stock would appreciate substantially. Thus there was an above-average probability of a large price move in one direction or the other. We had already seen cases where the option market assigned normal probability distributions to situations that clearly had bimodal outcomes. So the first thing we checked was whether the Altria options still assumed a normal probability distribution, despite the presence of a bimodal event. Sure enough, the Altria option prices still implied a normal distribution, which meant the out-of-the-money options were way too cheap. Since our work suggested a greater likelihood for a bullish outcome, we bought the out-of-the-money calls. The calls appreciated sharply when one of the key cases supporting the rating downgrades was thrown out on appeal shortly after we initiated our investment. We made about 2.5 times our money on the trade. Although we made a large return for a short holding period, in hindsight, we sold far too soon.

Any other examples of a trade opportunity that was created by mispriced options related to a corporate event?